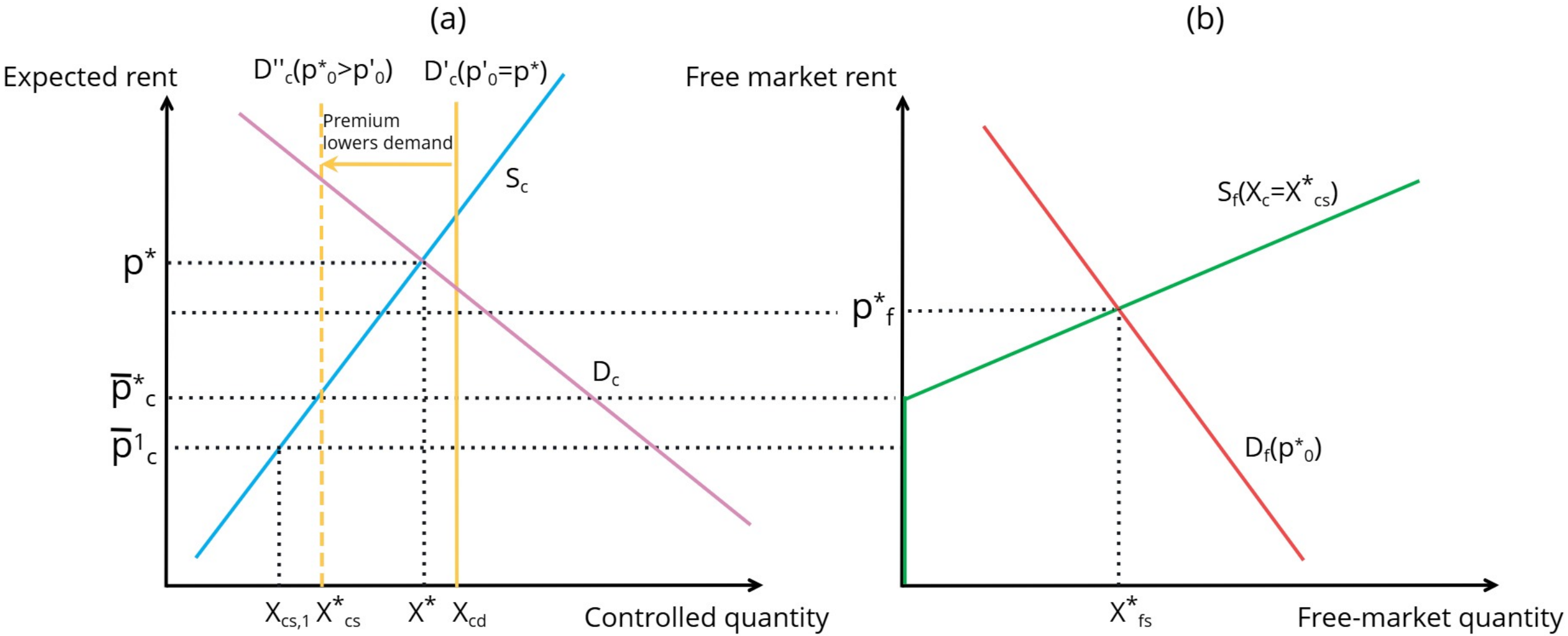

(a)
(b)
Expected rent
Free market rent
D''c(p*0>p'0)
D'c(p'0=p*)
Premium
lowers demand
Sc
Sf(Xc=X*cs)
p*
p*f
p̄*c
p̄1c
Dc
Df(p*0)
Xcs,1
X*cs
X*
Xcd
X*fs
Controlled quantity
Free-market quantity